Calendar Line 4
Case Name: *Debra Ryan et al. v. AAA et al.*
Case No.: 23CV427933

I. BACKGROUND

This is a dispute over insurance coverage for fire-related losses suffered by plaintiffs Debra and Richard Ryan (the "Ryans") in December 2020 at their residence in San Jose, California.

The Ryans filed their original complaint, a form complaint, on December 18, 2023. They filed their operative first amended complaint ("FAC"), also a form complaint, on February 6, 2024. The FAC states two causes of action: (1) breach of written contract (insurance policies), and (2) fraud (with boxes checked for misrepresentation, concealment, and promise without intention to perform).[2] Both causes of action are alleged against "AAA, CSAA Insurance Exchange." There is also an exemplary damages attachment. Attached to the FAC as Exhibits A and B are copies of (1) Homeowners Policy Declarations issued by "AAA Insurance underwritten by CSAA Insurance Exchange" covering the period from "10/16/2020" to "10/16/2021," listing Richard Ryan and Debra Ryan as named insureds, with an attached "California Homeowners Policy Special Form HO-3" from "AAA Insurance," and (2) a copy of a December 20, 2023 letter from "AAA Insurance | CSAA Insurance Exchange" stating that Richard Ryan's claim was now closed and that all payments owed had been issued.

Currently before the court is a demurrer to the FAC by defendants AAA and CSAA Insurance Exchange ("Defendants"), filed on April 19, 2024. The Ryans filed an opposition on July 17, 2024.

II. REQUESTS FOR JUDICIAL NOTICE

Both sides here have submitted requests for judicial notice. "Judicial notice may not be taken of any matter unless authorized or required by law." (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307 [citing *People v. Shamrock Foods Co*. (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to "[furnish] the court with sufficient information to enable it to take judicial notice of the matter."

A. Defendants' Request

Defendants request judicial notice of two documents, attached as Exhibits A and B, pursuant to Evidence Code section 452, subdivision (h). Both documents are described as

[2] The second cause of action is improperly titled "Fraud and Breach of the Implied Covenant of Good Faith and Fair Dealing." This is two different causes of action. A plaintiff may not plead causes of action with separate and distinct elements as one cause of action, and the second cause of action does not plead the elements of a breach of implied covenant claim against an insurer. Each cause of action attachment form states near the top: "Use a separate cause of action form for each cause of action."

having been "found" on the website for the California Department of Insurance. Defendants maintain that these documents establish that AAA does not issue insurance in California. The court denies the request as to both documents.

First, Evidence Code section 452, subdivision (h), does not apply. Subdivision (h) "is intended to cover facts which are not reasonably subject to dispute and are easily verified." (*Gould v. Maryland Sound Industries* (1995) 31 Cal.App.4th 1137, 1145.) It does not apply to information contained on websites. (See *Jolley v. Chase Home Finance LLC* (2013) 213 Cal.App.4th 872, 889 ["[W]e know of no 'official web site' provision for judicial notice in California."]; *Duronslet v. Kamps* (2012) 203 Cal.App.4th 717, 737 [refusing to take judicial notice of information on the California Board of Registered Nursing web site]; *Searles Valley Minerals Operations, Inc. v. State Board of Equalization* (2008) 160 Cal.App.4th 514, 519 [affirming denial of request to take notice of the truth of the contents of web site pages of the American Coal Foundation and the U.S. Dept. of Energy].)

Second, a demurrer cannot be turned into an evidentiary hearing via attempts to have the court take judicial notice of the truth of the contents of documents. "For a court to take judicial notice of the meaning of a document submitted by a demurring party based on the document alone, without allowing the parties an opportunity to present extrinsic evidence of the meaning of the document, would be improper. A court ruling on a demurrer therefore cannot take judicial notice of the proper interpretation of a document submitted in support of the demurrer. In short, a court cannot by means of judicial notice convert a demurrer into an incomplete evidentiary hearing in which the demurring party can present documentary evidence and the opposing party is bound by what that evidence appears to show." (*Fremont Indemnity Co. v. Fremont General Corp*. (2007) 148 Cal.App.4th 97, 114-115, internal citations omitted; see also *New Livable California v. Assoc. of Bay Area Governments* (2020) 59 Cal.App.5th 709, 716 [citing Fremont Indemnity Co. among other decisions].)

B. The Ryans' Request

With their opposition, the Ryans similarly submit a misplaced request for judicial notice under section 452, subdivision (h). The source of their proposed document, attached as Exhibit A to the request, is not identified, but it appears to be marketing material from AAA Home Insurance. Subdivision (h) does not apply to this document, either. The request is denied.

III. DEMURRER TO THE FAC

A. General Standards

The court, in ruling on a demurrer, treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp*. (1983) 35 Cal.3d 197, 213-214.) A plaintiff is not ordinarily required to allege "'each evidentiary fact that might eventually form part of the plaintiff's proof . . . .'" (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341.)

The court considers only the pleading under attack, any attached exhibits, and any facts or documents as to which judicial notice is properly requested. The court cannot consider extrinsic evidence in ruling on a demurrer or motion to strike. This includes declarations. The court has only considered the declaration from Weiland Chiang, counsel for defendants, to the extent that it discusses the meet-and-confer efforts required by statute. The court has not considered the contents of the attached exhibits.

Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The rules of court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), and 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."]; see also 5 Witkin, *Cal. Procedure* (5th ed., 2019) Pleading, § 953 ["Each ground of demurrer must be in a separate paragraph and must state whether the demurrer applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

Finally, "points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before." (*Proctor v. Vishay Intertechnology, Inc*. (2013) 213 Cal.App.4th 1258, 1273; see also *REO Broadcasting Consultants v. Martin* (1999) 69 Cal.App.4th 489, 500 ["This court will not consider points raised for the first time in a reply brief for the obvious reason that opposing counsel has not been given the opportunity to address those points."].)

B. Basis for the Demurrer

Defendants' April 19, 2024 Notice of Demurrer states that Defendants demur to the entire FAC "on the grounds that it fails to state a claim against 'AAA' and CSAA IE [and] is uncertain." The Demurrer further states that the FAC's second cause of action for fraud fails to state sufficient facts "against 'AAA' and CSAA IE" and is uncertain. It also asserts that the entire FAC fails to state sufficient facts against AAA.

In their supporting memorandum, Defendants attempt to raise other arguments not raised in the notice of demurrer and demurrer, such as the notion that the second cause of action for fraud is barred by the economic loss rule. Not only is this improper; it is also incorrect.[3]

[3] (See *County of Santa Clara v. Atlantic Richfield Co*. (2006) 137 Cal.App.4th 292, 328-329 [fraud generally falls outside the scope of the economic loss rule].) The decision in *Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, cited by Defendants, also does not provide support for the demurrer. That decision concerned a review of a summary judgment ruling, not a pleading challenge. It is not apparent from the *face of the FAC* that the economic loss rule bars the fraud claim here.

C. Analysis

1. Uncertainty (Code Civ. Proc., § 430.10, subd. (f).)

The court OVERRULES Defendants' demurrer to the entire FAC and to the second cause of action for fraud on the ground of uncertainty.

"'[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.' 'A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.'" (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695, internal citations omitted.)

While the FAC is a form complaint with limited narrative allegations, the court does not find it to be so ambiguous or incomprehensible that Defendants are unable to respond. Indeed, it is apparent from Defendants' arguments under subdivision (e) that they understand the FAC as a whole and the second cause of action for fraud, and they are capable of responding.

2. Failure to State Sufficient Facts (Code Civ. Proc., § 430.10, subd. (e).)

The court OVERRULES the demurrer to the entire FAC on the ground that it fails to state sufficient facts as to AAA, based on Defendants' claim that AAA is not an insurer that issues policies in California. This argument depends upon extrinsic evidence, including extrinsic materials as to which the court has denied judicial notice. The FAC, including the attached exhibits, adequately alleges that "AAA Insurance underwritten by CSAA Insurance Exchange" issued a policy to the Ryans covering the subject property that was in effect at the time of the fire. This allegation is accepted as true on demurrer.

The court SUSTAINS the demurrer to the second cause of action for fraud on the ground that it fails to state sufficient facts, with 20 days' leave to amend.

"The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages." (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792 [citation omitted].) "Fraud must be pleaded with specificity rather than with general and conclusory allegations. The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made." (*Id*. at p. 793 [citation and quotation marks omitted].) Courts enforce the specificity requirement in consideration of its two purposes. (*Id*. at p. 793.) The first purpose is to give notice to the defendant with sufficiently definite charges that the defendant can meet them. (*Ibid*.) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, the pleading should be sufficient to enable the court to determine whether, on the facts pleaded, there is any foundation for the charge of fraud. (*Ibid*.)

Defendants' argument that the second cause of action fails to allege an intent to deceive is not persuasive. (See 5 Witkin, *California Procedure* (5th ed. 2019) Pleading, §728 ["Intent, like knowledge, is a fact. Hence, the averment that the representation was made with the intent to deceive the plaintiff, or any other general allegation with similar purport, is sufficient."].)

On the other hand, Defendants are correct that the FAC fails to allege reliance and resulting damages, and also fails to allege who made misrepresentations on their behalf, as they are both corporate entities. A plaintiff asserting fraud by misrepresentation is obliged to establish a complete causal relationship between the alleged misrepresentations and the harm claimed to have resulted therefrom. This requires a plaintiff to allege specific facts not only showing that he or she actually and justifiably relied on the defendant's misrepresentations, but also how the actions he or she took in reliance on the defendant's misrepresentations caused alleged damages. Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages. (See *Orcilla v. Big Sur, Inc.* (2016) 244 Cal.App.4th 982, 1008.) The Ryans' complaints do not comply with these pleading requirements. Indeed, as Defendants correctly point out, the FAC does not even come close to alleging fraud with any reasonable specificity, and both the FAC and the Ryans' opposition arguments appear to mix up the elements of fraud and the elements of insurance bad faith.[4]

A plaintiff bears the burden of demonstrating that an amendment would cure the defect identified on demurrer. (See *Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 ["The onus is on the plaintiff to articulate the 'specifi[c] ways' to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend 'only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case. [Citation.]'"].) The Ryans have not met this burden, as the opposition simply includes a general request for 30 days' leave to amend if the court sustains any part of the demurrer. Nevertheless, because this is the first pleading challenge in the case, the court grants 20 days' leave to amend.

The court reminds the Ryans and their counsel that when a demurrer is sustained with leave to amend, the leave must be construed as permission to the pleader to amend the causes of action to which the demurrer has been sustained, not to add entirely new causes of action. (*Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1015.) To raise claims entirely unrelated to those originally alleged requires either a new lawsuit or a noticed motion for leave to amend. "Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order. The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend." (*Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456, citing *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023.) As noted above, leave to

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[4] Contrary to the opposition's arguments, the FAC does not allege a cause of action for breach of the implied covenant of good faith and fair dealing or for breach of Insurance Code section 790.03. (See Opposition, p. 7:1-15.) The general rule is that statutory causes of action must be pleaded with particularity. (See *Lopez v. Southern California Rapid Transit District* (1985) 40 Cal.3d 780, 795; *Covenant Care, Inc. v. Superior Court* (2004) 32 Cal.4th 771, 790.) In fact, the FAC does not make any reference to Insurance Code section 790.03. If the Ryans wish to add additional causes of action beyond the two currently alleged, that will require a noticed motion for leave to amend.

amend does not presently include any new causes of action for breach of the implied covenant of good faith and fair dealing or for breach of Insurance Code section 790.03

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Calendar Line 6
Case Name: *Claudia Barrera Roque et al. v. Stucco Supply Co. et al.*
Case No.: 21CV381806

Plaintiff Claudia Barrera Roque moves to compel further deposition testimony from defendant Gabriel Calderon; in addition, she seeks $1,560 in monetary sanctions for having had to bring this motion. The court GRANTS the motion and GRANTS IN PART the request for sanctions.

The court has reviewed the entire transcript of Calderon's deposition, lodged with this motion, and makes the following findings:

- Defendants' counsel improperly instructed Calderon not to answer questions on multiple occasions. The most common rationales offered were that the answer was "not likely to lead to the discovery of admissible evidence" or that the image/video that was the subject of the question "speaks for itself." Neither of these is a valid basis for instructing a witness not to answer a question.
    - Indeed, the notion that a document (or image or video) "speaks for itself" is not a proper deposition objection *under any circumstance*. At best, the oft-misused objection that a document "speaks for itself" is a misapplication of the best evidence rule, which calls for the use of an original document rather than a facsimile. In other words, this is *at best* an evidentiary objection at trial, not a discovery objection.
- Defendants' counsel repeatedly made speaking objections at the deposition that appeared to be designed to coach or steer (and did have the effect of coaching and steering) the witness's answers. This was grossly improper.
- The court disagrees with Calderon's allegation that the questioning at the deposition constituted "harassment." To be sure, some of the questioning was persistent and repetitive, but the repetition was largely attributable to the witness's evasive answers and counsel's improper coaching and instructions.
- Barrera Roque adequately met and conferred before bringing this motion.

The court grants the motion to compel and orders that Calderon be deposed for up to one more hour on the record, within 30 days of notice of entry of this order. The court also grants, in part, Barrera Roque's request for monetary sanctions. Barrera Roque has requested $1,560, but that amount includes one hour for appearing at the hearing on this motion, which the court finds to be unnecessary. Instead, the court orders sanctions in the amount of **$1,260** (four hours at $300/hour plus the $60 filing fee). Calderon and his counsel are jointly and severally liable for this amount, which shall be paid within 30 days of notice of entry of this order. The purpose of discovery sanctions is compensatory, not punitive.

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